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Retail Research	IPO Note
Sector: IT - SaaS	Price Band (Rs): 549 – 577
12th November 2025	Recommendation: AVOID

Capillary Technologies India Ltd

Company Overview:

Capillary Technologies India Ltd. (CTIL) offers AI-based cloud-native SaaS products & solutions primarily to Enterprise Customers globally to develop loyalty of their consumers and channel partners. Headquartered in India, the company supports over 410 brands across 47 countries and is one of the global leaders in the loyalty and engagement management space. CTIL's diversified product suite includes advanced loyalty management platform (Loyalty+), connected engagement platform (Engage+), predictive analytics platform (Insights+), rewards management platform (Rewards+) and customer data platform (CDP) which allows its Enterprise Customers to run end-to-end loyalty programs, get a comprehensive view of consumers (end-users) and offer unified, cross-channel strategies.

Key Highlights:

1. **Business Model:** Under the company's operating model, Enterprise Customers are organizations that license and manage CTIL's loyalty management platforms (e.g. Loyalty+, Engage+, etc.), whereas consumers are the end users who engage on these platforms through the offerings of the said enterprise customers. These consumers/end-users engage with the platforms typically by participating in loyalty programs, receiving rewards and experiencing personalized engagement facilitated by CTIL's solutions. Built using a modern technology stack and powered by AI and machine learning, CTIL's comprehensive AI-enabled platform allows businesses to leverage its existing infrastructure to identify and understand each consumer while engaging with them across multiple channels.

2. **Trusted partner in the loyalty solutions space:** With a decade-long track record, CTIL has established itself as a leader in the global loyalty solutions industry in terms of email marketing tools, marketing automation platforms, loyalty solutions, rewards programs, account-based marketing tool ("ABM"), customer support tools, CDP, CRM and analytics / business intelligence tools. The company is amongst the few players in the loyalty management space that offer end-to-end loyalty solutions. CTIL's loyalty programs include instant rewards, personalized benefits and robust security measures which makes it difficult for its customers to switch to competitors as they would lose out on these incentives. As of Sep'25, the number of consumers hosted on CTIL's platform stood at 1.8 bn (vs 1.5 bn in Sep'24).

3. **Long-term Customer Relationships:** The company serves a diverse customer base across various sectors, including departmental stores, apparel, luxury goods, travel, automotive, consumer goods, healthcare, etc. As of Sep'25, CTIL works with both enterprise and small to medium-sized businesses, including 19 Global Fortune 500 companies in 47 countries. Key clients include the likes of Tata Digital, ABFRL, Domino's Pizza Indonesia and more. The company has managed to maintain low churn rates (~6.0% in FY25). A key aspect of CTIL's success lies in its ability to forge long-term relationships with global brands. As of 1HFY26, the Net Retention Revenue (NRR) stood at 115.4% and 121.3% in FY25.

4. **Comprehensive Solutions:** The company provides a comprehensive loyalty management platform that caters to various industries. The key offerings include: **(a) Loyalty+:** AI-powered loyalty program software that boosts brand engagement and repeat purchases, **(b) Insights+:** An analytics platform that aggregates, cleanses and enriches consumer data to deliver actionable insights, **(c) Engage+:** An AI-driven customer engagement tool for hyper-personalized interactions and marketing campaigns, **(d) Rewards+:** A dynamic marketplace for gift cards, cashbacks, travel redemptions and exclusive partner deals and **(e) Customer Data Platform (CDP):** which offers a complete view of consumer transactions and behaviors across channels, leveraging AI and machine learning for real-time insights.

Valuation: CTIL is a market leader in loyalty and engagement with significant presence in US. The company's business model is driven by multi-year subscription agreements, ensuring a stable & predictable revenue stream. Besides driving organic growth, CTIL also focusses on acquisitions to integrate complementary technologies & access new customer segments. CTIL has delivered consistent & strong topline CAGR of 53% over FY23-25 & a 25% YoY growth in 1HFY26. It derives ~89% of its revenues from subscription which is recurring in nature. At the upper price band of Rs 577, CTIL is valued at FY25 P/E multiple of 323.3x on post issue capital which looks expensive. Hence, we recommend investors to AVOID the issue.

Issue Details	
Date of Opening	14th November 2025
Date of Closing	18th November 2025
Price Band (Rs)	549 – 577
Offer for sale (Rs cr)	532.5
Fresh Issue (Rs cr)	345.0
Issue Size (Rs cr)	877.5
No. of shares	1,52,07,998 @upper price band
Face Value (Rs)	2.0
Post Issue Market Cap (Rs cr)	4,576 @upper price band
BRLMs	JM Financial Ltd, IIFL Capital Services Ltd, Nomura Financial Advisory and Securities (India) Pvt Ltd
Registrar	MUFG Intime Pvt Ltd
Bid Lot	25 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NII shares	15%

Objects of Issue	
Particulars	**Estimated utilization from net proceeds (Rs cr)**
Funding cloud infrastructure cost	143.0
Investment in research, designing and development of products and platform	71.6
Investment in purchase of computer systems for business	10.3
Funding inorganic growth through unidentified acquisitions and general corporate purposes*	-
Net proceeds from the issue	**-**

The cumulative amount to be utilized for general corporate purposes and towards unidentified acquisitions shall not, in aggregate, exceed 35% of the gross proceeds, out of which the amounts to be utilized towards either of (i) general corporate purposes, or (ii) unidentified acquisitions will not exceed 25% of the gross proceeds. Further, the utilization of Net Proceeds towards funding inorganic growth through unidentified acquisitions and general corporate purposes shall be done to not utilize more than 50% of the proceeds from Fresh Issue towards funding any capital expenditure (including towards funding the unidentified acquisitions).

Shareholding Pattern		
Pre-Issue	**No. of Shares**	**%**
Promoter & Promoter Group	4,98,20,420	67.9
Public & Others	2,35,08,718	32.1
Total	**7,33,29,138**	**100.0**

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,12,79,682	52.0
Public & Others	3,80,28,659	48.0
Total	**7,93,08,341**	**100.0**

Selling shareholders through OFS	Classification	No. of shares
Capillary Technologies International Pte. Ltd.	Promoter	85,40,738
Trudy Holdings	Public	6,88,058
Total	**-**	**92,28,796**

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY23	FY24	FY25	1HFY26
Revenue from operations	255.4	525.1	598.3	359.2
EBITDA	(69.2)	(11.8)	65.0	36.5
Adj. EBITDA^	(6.2)	(1.1)	74.5	41.1
PAT	(99.9)	(68.4)	14.2	1.0
EBITDA Margin (%)	(27.1)	(2.3)	10.9	10.2
Adj. EBITDA Margin (%)	(2.4)	(0.2)	12.5	11.4
PAT Margin (%)	(39.1)	(13.0)	2.4	0.3
RoE (%)	(53.6)	(12.7)	2.5	-
RoCE (%)	(28.4)	(9.3)	2.8	-
P/E (x)*	-	-	298.9	-
Annual Recurring Revenues (ARR)	253.6	546.0	608.3	720.1
Net Revenue Retention (NRR)	139.0%	112.7%	121.3%	115.4%
No. of Consumers on Platform (bn)	1.0	1.1	1.3	1.8
Fortune 500 Clients	9	16	16	19

^Adjusted EBITDA is computed as EBITDA plus employee stock option expenses minus Interest income on bank deposits, Interest income on security deposits, Interest income on corporate deposits, Gain on fair valuation of investments carried at fair value through profit and loss, Profit on sale of investments, Profit on sale of property, plant and equipment (net), Interest income on income tax refund.

****Note: Pre-issue P/E based on upper price band***
Source: RHP, SSL Research

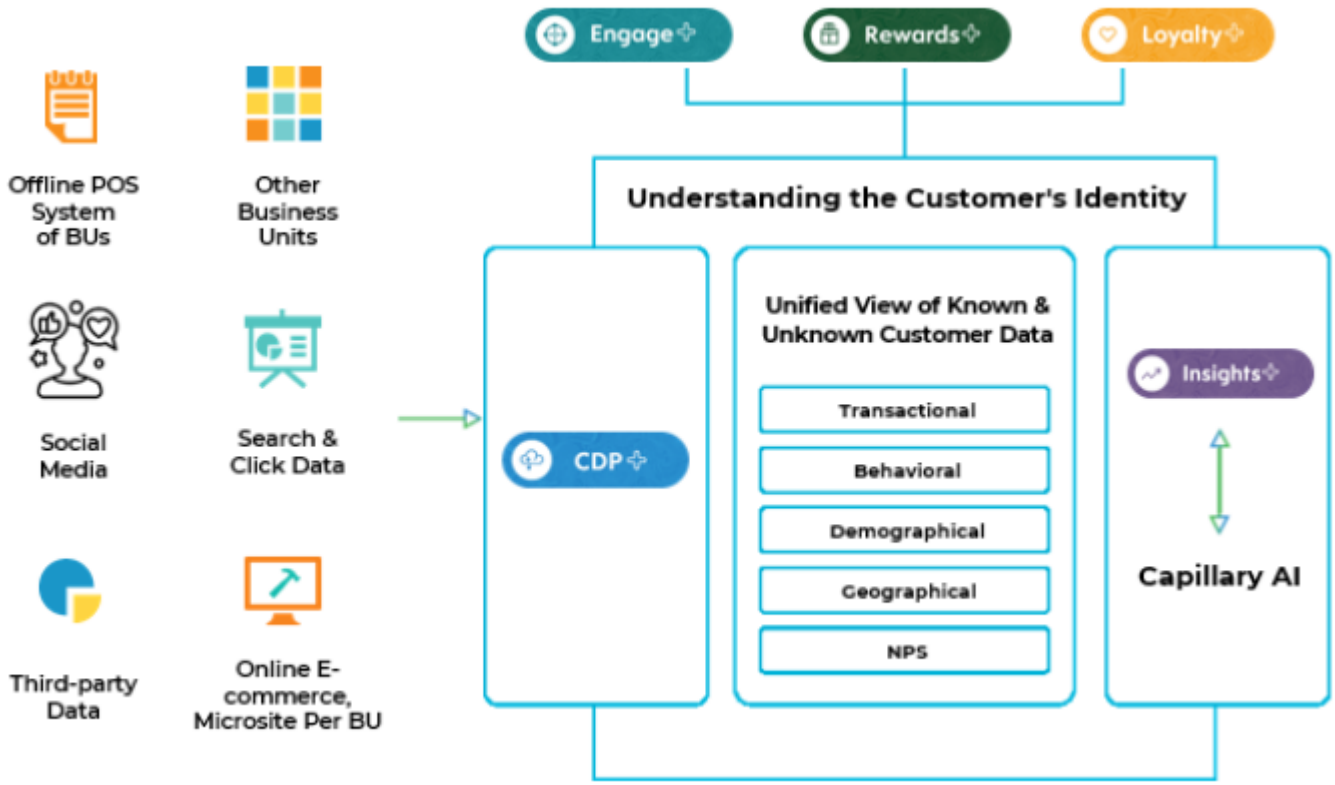
Risk Factors

- **Customer concentration:** As of FY25, the company derived ~58.7% of its total revenue from its top 10 customers with the top customer contributing ~16.5%. Additionally, ~56.7% of the company's total revenue was derived from customers based in North America. Going ahead, CTIL intends to further expand its presence in the United States by pursuing more acquisitions in North America. Thus, any loss or reduction of business from/by the top customers and/or any adverse developments in North America could impact the company's business and financial condition.
- **Customer acquisition:** In order to grow the business, CTIL must continue to attract new customers in a cost-effective manner. However, customer acquisition costs may be high and certain engagements, particularly with smaller customers may initially yield limited revenues. If such customers do not scale their engagement or the company is unable to increase transaction volumes or pricing, it may be unable to recover the acquisition costs, ultimately affecting its profitability.
- **Employee attrition risk:** The company's ability to compete in the highly competitive technology industry depends upon its ability to attract and retain qualified personnel. The research, design, development and maintenance of CTIL's products and platform is heavily dependent on its engineers, product managers and data scientists for understanding client needs and delivering customized solutions. Thus, the inability to retain existing or attract new qualified personnel may affect CTIL's business.

Growth Strategies

- Focus on go-to-market strategy on larger enterprises.
- Focus on improving revenue from existing clients.
- Expand presence in the United States and pursue further acquisitions in North America and other regions.
- Add new industry-specific solutions.
- Continue investing in AI-driven enhancements and advanced customer engagement solutions.

Overview of Solutions Offered



Source: RHP, SSL Research

Geographical Presence

Source: RHP, SSL Research

Revenue Split - Region

Particulars	FY23		FY24		FY25		1HFY26	
	Rs cr	% of TR	Rs cr	% of TR	Rs cr	% of TR	Rs cr	% of TR
North America	51	20.0%	253	48.1%	339	56.6%	201	56.0%
Asia-Pacific	171	67.0%	174	33.2%	145	24.2%	90	25.0%
EMEA	33	13.0%	98	18.8%	115	19.2%	68	19.0%
Total Revenue (TR)	**255**	**100.0%**	**525**	**100.0%**	**598**	**100.0%**	**359**	**100.0%**

Source: RHP, SSL Research

Revenue Split - Industry

Particulars	FY23		FY24		FY25		1HFY26	
	Rs cr	% of TR	Rs cr	% of TR	Rs cr	% of TR	Rs cr	% of TR
Retail	115	45.0%	193	36.8%	169	28.2%	108	30.0%
Healthcare	13	5.1%	38	7.2%	121	20.3%	63	17.6%
BFSI & Telecommunications	-	-	66	12.6%	93	15.6%	58	16.2%
Consumer Packaged Goods	29	11.5%	48	9.2%	64	10.6%	29	8.2%
Travel, Automobile & Hospitality	10	3.9%	65	12.4%	59	9.8%	43	11.9%
Energy Retail	47	18.4%	51	9.8%	43	7.2%	26	7.1%
Conglomerate	31	12.0%	53	10.1%	42	7.0%	31	8.7%
Food and beverages	10	4.1%	10	1.9%	8	1.3%	1	0.3%
Total Revenue (TR)	**255**	**100.0%**	**525**	**100.0%**	**598**	**100.0%**	**359**	**100.0%**

Source: RHP, SSL Research

Enterprise Customers Served

Source: RHP, SSL Research

Key Acquisitions Made in the Past

	Persuade	Brierley	Rewards+^	Kognitiv
Acquisition Date	September 2021	April 2023	June 2023	May 2025
Acquisition Rationale	Entry into North America Growing business with marquee logos	CAC substitution with marquee brands and consulting value. Past Forrester leader	Adding Loyalty adjacency product features with entry to Europe and BFSI clients	CAC substitution with marquee brands with sticky revenues
No. of Fortune 500 Customers	3	2	4	5
Top two Industry Verticals Added	Consumer Goods Travel, Auto & Hospitality	Retail Travel, Auto & Hospitality	BFSI & Telecom Travel, Auto & Hospitality	Retail Travel, Auto & Hospitality
Migration Status	All continuing customers migrated	All continuing customers migrated	Adjacent product; all customers migrated	Plan to complete migration in FY27
Acquisition Price (Rs Million)	1858.33	826.30	277.33	1467.03
Acquired Revenue (Rs Million)	388.94	1450.06	852.30	Not Applicable*
Acquisition multiple (Acquisition Price / Acquired Revenue)	4.78x	0.57x	0.33x	Not Applicable

Source: RHP, SSL Research

Customer Base and Acquisition Costs

Particulars	FY23	FY24	FY25	1HFY26
Number of Customers	112	111	98	110
Number of Brands	339	398	393	413
Customer acquisition cost (Rs cr)	**54**	**87**	**107**	**66**
as % of net revenue	*25.9%*	*18.1%*	*17.9%*	*18.2%*

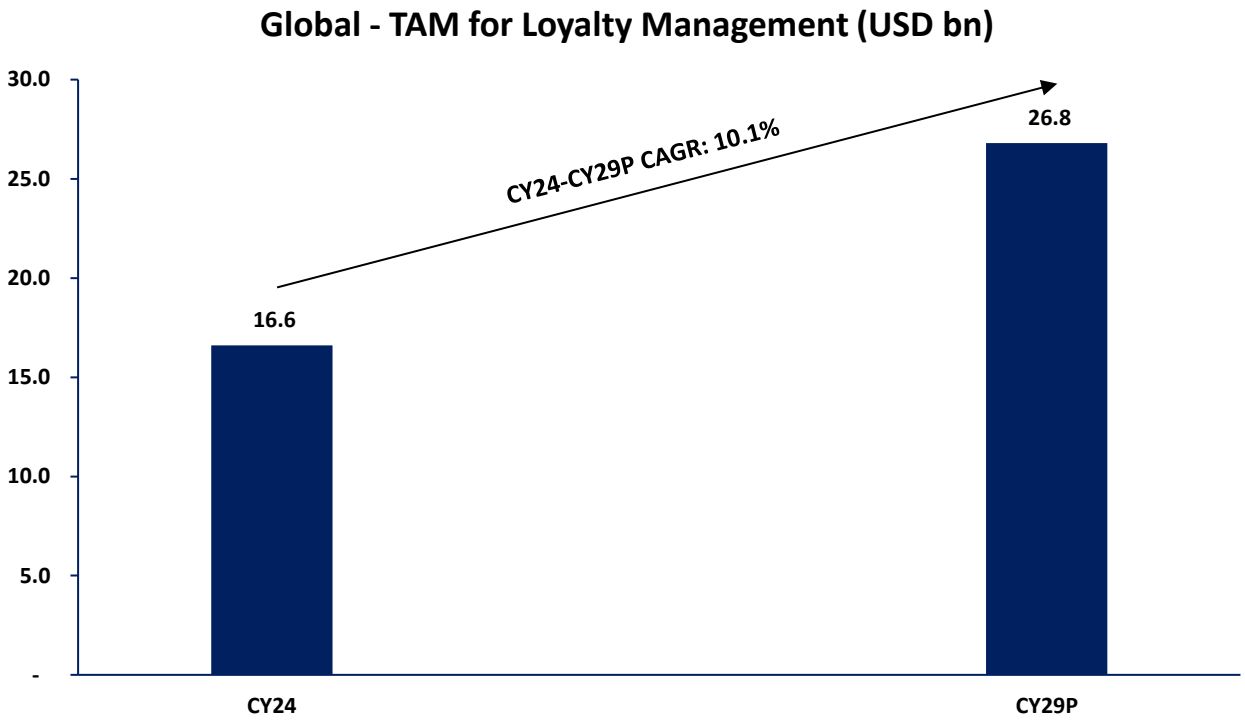
Source: RHP, SSL Research

Employee Base and Attrition Rate

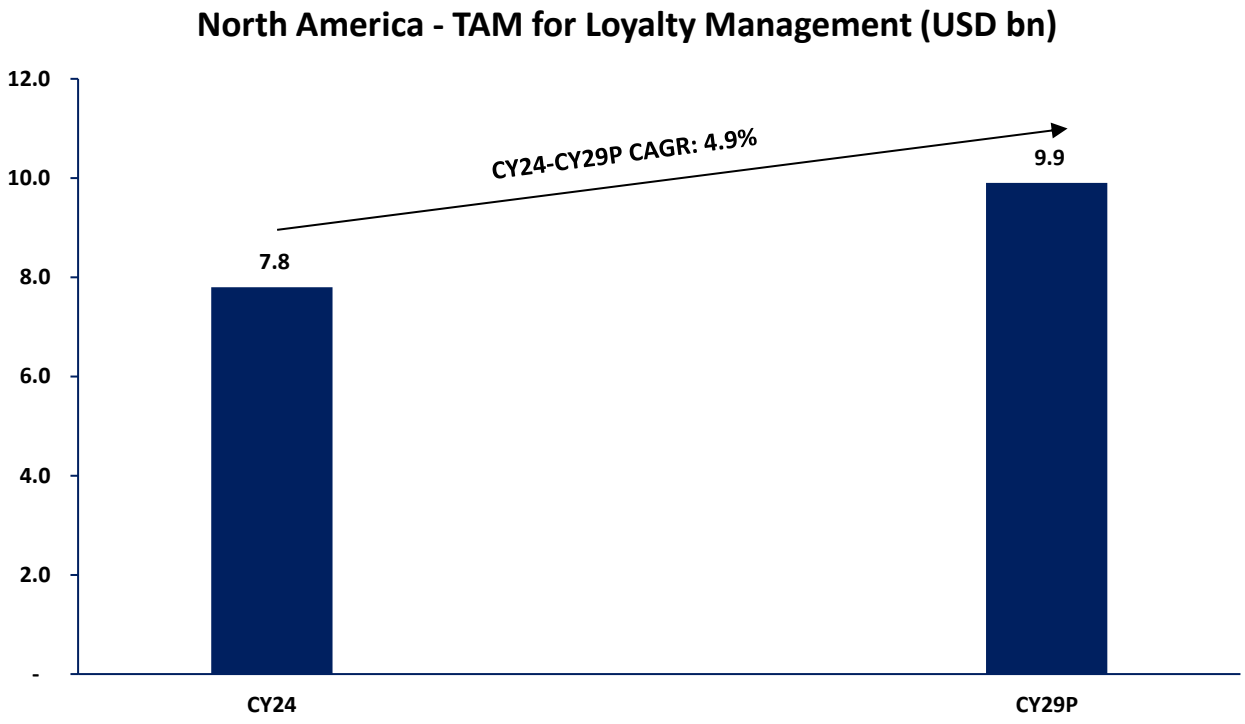
Particulars	FY23	FY24	FY25	1HFY26
Number of Employees	539	627	678	737
Number of Employees exited	137	131	129	62
Attrition rate*	25.4%	20.9%	19.0%	8.9%

Attrition rate is calculated as number of employees who left during a specific period divided by the average number of employees during that period
Source: RHP, SSL Research

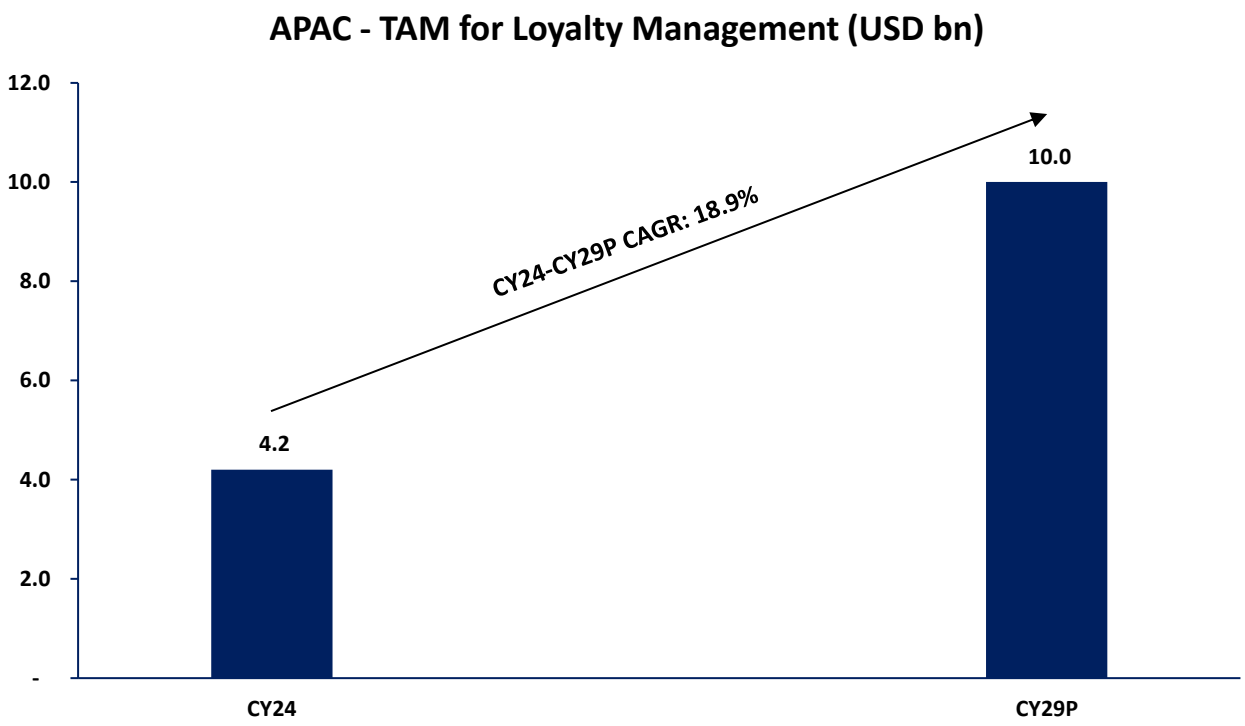
Industry Overview



**TAM stands for Total Addressable Market*
Source: RHP, SSL Research



Source: RHP, SSL Research



**APAC stands for Asia-Pacific*
Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
Particulars (Rs cr)	**FY23**	**FY24**	**FY25**	**1HFY26**
Revenue from Operations	**255**	**525**	**598**	**359**
YoY growth (%)	**-**	***105.6%***	***13.9%***	***25.1%***
Cost of Services	**109**	**223**	**192**	**125**
Gross Profit	**146**	**302**	**407**	**234**
Gross margins (%)	***57.2%***	***57.6%***	***68.0%***	***65.1%***
Employee Cost	188	272	296	174
Other Operating Expenses	27	42	46	23
EBITDA	**(69)**	**(12)**	**65**	**36**
EBITDA margins (%)	***-27.1%***	***-2.3%***	***10.9%***	***10.2%***
Adj. EBITDA^	**(6.2)**	**(1.1)**	**74.5**	**41.1**
Adj. EBITDA Margin (%)	***-2.4***	***-0.2***	***12.5***	***11.4***
Other Income	11	10	14	3
Interest Exp.	11	18	8	3
Depreciation	37	56	60	36
PBT	**(106)**	**(75)**	**11**	**1**
Exceptional item	11	-	-	-
Tax	(6)	(7)	(3)	(1)
Profit from discontinued operations	1	9	(1)	-
Adj. PAT	**(100)**	**(68)**	**14**	**1**
Adj. PAT margin (%)	***-39.1%***	***-13.0%***	***2.4%***	***0.3%***
Adj. EPS	**(13.6)**	**(9.3)**	**1.9**	**0.1**

BALANCE SHEET				
Particulars (Rs cr)	**FY23**	**FY24**	**FY25**	**1HFY26**
Assets				
Net Block	2	3	3	4
Right of use assets	2	3	6	11
Intangible Assets	54	111	103	149
Goodwill	165	184	188	291
Other Non-current Assets	87	102	119	117
Current Assets				
Current Investment	-	70	-	25
Trade receivables	80	146	161	185
Cash and Bank Balances	46	181	214	60
Short-term loans and advances	-	40	-	-
Other Current Assets	24	29	43	51
Total Current Assets	**150**	**465**	**418**	**321**
Current Liabilities & Provisions				
Trade payables	59	73	51	72
Other current liabilities	56	159	96	106
Short-term provisions	3	2	2	2
Total Current Liabilities	**118**	**234**	**149**	**181**
Net Current Assets	**32**	**231**	**269**	**141**
Total Assets	**348**	**637**	**690**	**712**
Liabilities				
Share Capital	11	15	15	15
Reserves and Surplus	176	524	554	582
Total Shareholders Funds	**187**	**539**	**568**	**596**
Total Debt	147	77	100	89
Long Term Provisions	4	7	8	9
Lease Liabilities	2	3	6	11
Other Long Term Liabilities	2	2	-	-
Net Deferred Tax Liability	6	9	7	6
Total Liabilities	**348**	**637**	**690**	**712**

Cash Flow Statement (Rs cr)	FY23	FY24	FY25	1QFY26
Cash flow from Operating Activities	(20)	97	(46)	55
Cash flow from Investing Activities	(94)	(185)	64	(197)
Cash flow from Financing Activities	137	218	13	(18)
Free Cash Flow	(48)	60	(94)	37

RATIOS			
Particulars	**FY23**	**FY24**	**FY25**
Profitability			
Return on Assets	-21.4%	-7.8%	1.7%
Return on Capital Employed	-28.4%	-9.3%	2.8%
Return on Equity	-53.6%	-12.7%	2.5%
Margin Analysis			
Gross Margin	57.2%	57.6%	68.0%
EBITDA Margin	-27.1%	-2.3%	10.9%
Net Profit Margin	-39.1%	-13.0%	2.4%
Short-Term Liquidity			
Current Ratio (x)	0.7	1.5	1.7
Quick Ratio (x)	0.7	1.5	1.7
Avg. Days Sales Outstanding	115	101	98
Avg. Days Inventory Outstanding	-	-	-
Avg. Days Payables	66	50	35
Fixed asset turnover (x)	115	171	181
Debt-service coverage (x)	-0.6	-0.6	0.2
Long-Term Solvency			
Total Debt / Equity (x)	0.8	0.1	0.2
Interest Coverage Ratio (x)	-8.5	-3.3	2.4
Valuation Ratios*			
EV/EBITDA (x)	-	-	63.4
P/E (x)	-	-	298.9
P/B (x)	22.7	7.9	7.4
EV/Sales (x)	17.0	7.9	6.9
P/Sales (x)	16.6	8.1	7.1

^Adjusted EBITDA is computed as EBITDA plus employee stock option expenses minus Interest income on bank deposits, Interest income on security deposits, Interest income on corporate deposits, Gain on fair valuation of investments carried at fair value through profit and loss, Profit on sale of investments, Profit on sale of property, plant and equipment (net), Interest income on income tax refund.

****Valuation ratios are based on pre-issue capital at the upper price band***

Source: RHP, SSL Research

Peer Comparison

Capillary Technologies India Ltd does not have any listed like-to-like industry peers in India

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